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The market bet on change. It got continuity.

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Lula’s comeback win shook Brazilian markets in a single day: the dollar jumped 9.2% against the real, and markets now expect interest rates to rise rather than fall. I held no position through the vote, and I will wait for the central bank’s meeting on 4 November before betting on interest rates.

Investors had bet on a change of government. On 25 October, Lula won a fourth term with 51.79% of valid votes, after trailing Flávio Bolsonaro 47.1% to 45.0% in the first round. It was the first time since 1989 that the second-placed candidate in the first round went on to win. One trading day was enough to reprice every Brazilian asset.

What moved, and what did not

Market	Fri 23 Oct	Mon 26 Oct	Change
Dollar in reais (PTAX)	5.0374	5.5003	+9.2%
Interest rate to Jan 2028 (DI)	12.86%	14.80%	+194 bp
Ibovespa (stock index)	205,083	176,608	−13.9%
U.S. 2-year interest rate	4.69%	4.68%	−1 bp

PTAX and U.S. rates come from official sources. The DI rate and the Ibovespa are B3 exchange figures reported by the press; Monday’s DI is a late-afternoon quote. As the Ibovespa fell, stock trading was briefly halted (a circuit breaker).

What I would do

Currency: no position. My 6 October plan to buy the real was cancelled automatically on the first day it could have started, because the dollar closed at 5.5003, above my 5.30 cancel level. Interest rates: I think the central bank’s rate cuts are over, and I take no position before its 4 November meeting (the Copom). If it holds rates instead of raising them, and the government confirms its 2027 budget target, the market’s 14.80% rate looks too high. A bet that it falls (“receiving” the rate) is the trade I am preparing.

What would change my mind

If the central bank raises rates, or the government loosens its 2027 budget target, the market is right to expect higher rates, and I stay out. If the central bank cuts, its credibility becomes the risk. I would look at the real again only with new, dated levels, not just because it is cheaper.

The currency: a year of extra interest lost in one day

The official dollar rate rose from 5.0374 to 5.5003 reais (+9.2%). Since 2002, only one day saw a bigger rise: 8 October 2008, during the global financial crisis. The move wiped out the whole rally after the first round and left the dollar 5.3% above where it was before the first round (5.2235). The good news had been worth 4.6%; the bad news cost about twice as much. One caution: PTAX averages four readings taken in the morning, when the dollar briefly topped R$5.60. The dollar ended the day at 5.4029 (+8.2%), and the official rate eased to about 5.33 on 27 October (press-reported). The authorities treated Monday as market stress: the Treasury cancelled the week’s fixed-rate and inflation-linked bond sales and bought bonds back, and the central bank said it would step into the currency market only if trading stopped working properly.

Interest rates: from expected cuts to expected hikes

On Friday, the January 2028 DI rate (12.86%) was only 0.3 pp above what economists expected (Focus survey, 23 Oct): a policy rate cut by 50 bp to 13.25% by December and to 11.75% by end-2027, an average of about 12.5%. On Monday it traded near 14.80%: 2.3 pp above that path, and above today’s 13.75% policy rate. Longer contracts, to January 2029 and 2031, closed at 15.22% and 15.28%. Near-term contracts say the same: the January 2027 rate closed at 13.70%, slightly above today’s overnight rate (13.65%), so markets no longer expect any cut this year (economists’ path: 13.4%). The gap is either rate hikes economists do not yet expect, or extra compensation investors now demand for risk. The central bank’s next meeting is the first test of which.

Why: worries about public finances, not new data

No economic data changed over the weekend; what changed was the expected economic policy. Investors had bet that a new government would cut spending. The government’s 2027 budget bill projects a primary surplus (the budget balance before interest) of R$18.6 bn; the Senate’s Independent Fiscal Institution expects a deficit of R$86.1 bn. A fourth Lula term makes that gap the central question. Inflation leaves the central bank little room to ignore a weaker real: economists already expect 5.2% inflation for 2026, above the 4.5% upper limit of the target range, and 4.3% for 2027, against a 3% target. That is why I think the rate cuts are over. The extra risk premium should shrink only with evidence (a credible 2027 budget target, the budget vote, signals from the economic team), not just because Brazilian rates are high.

Exporters: a windfall for those who did not hedge

At unchanged dollar prices, a 9.2% rise in the dollar raises exporters' revenue in reais by the same 9.2%: the mirror image of the first round, when the stronger real cut it. A producer who locked in an exchange rate (hedged) after the first round, near 4.99, gave up this windfall; that is the hedge working as insurance, not a loss. Oil price data stop on 20 October, so there is no post-vote oil reading yet.

What I do next

If, after the central bank meets on 4 November…	It means	What I would do
It holds rates, sounds firm on inflation, and the 2027 budget target is confirmed	Markets priced too many hikes: part of Monday's jump was fear	Prepare a bet that the January 2028 rate falls, with dated entry and exit levels
It raises rates, or the budget target is loosened	The hikes or the risk premium are real	Stay out; the real stays under pressure
It cuts rates	The central bank's credibility becomes the risk	Stay out; expect a weaker real and higher long-term rates

Dates: U.S. Federal Reserve 28 October; Brazil's central bank (Copom) 4 November; both again on 9 December. The weekly Focus survey will show how far economists move toward market prices.

Risk check: why my risk models were not enough

On Friday, my three risk models (the VaR study below) said a position in reais would lose more than 1.6%–2.6% on only 1 day in 100. Monday's loss was 8.4%: 3 to 5 times larger. These models describe ordinary days; an election result is a jump. That is why the decision before the vote was about exposure (holding none) rather than about stop-loss levels, which a price jump skips straight past.

Scorecard: my earlier calls

What I said	What happened	Verdict
6 Oct: do not buy before the runoff, because one day can jump past every price level.	The dollar jumped 9.2% on the first day a trade was allowed, straight past my 5.30 cancel level. The idea closed without a trade.	Confirmed
16 Oct: the extra interest from holding reais cannot make up for an election jump; the first round had cost 6 months of it.	The runoff cost 12 months of that interest in a single day.	Confirmed
16 Oct: bond markets were more worried about inflation than the currency market was (expected inflation rose from 5.27% to 5.54% while the real kept 72% of its rally).	Bonds gave the better warning. I pointed out the gap but did not measure the lopsided risk behind it.	Partly
16 Oct: three scenarios for after the runoff, including a shock from U.S. interest rates.	No scenario covered a Brazil-only shock with falling U.S. rates, which is what happened.	Missed

Lesson. Prices and polls disagreed: markets were priced for one winner while the polls showed a coin flip. That imbalance, not a forecast of the result, was the reason to stay out. From now on, every scenario table includes the outcome markets are not pricing.

Dated inputs

TSE (25 Oct) · BCB (26 Oct) · U.S. Treasury (26 Oct) · BCB (23 Oct) · BCB (17 Sep) · Senate IFI (17 Sep) · CNN Brasil (26 Oct) · ISTOÉ Dinheiro (27 Oct) · Times Brasil (23 Oct) · InfoMoney (26 Oct) · Seu Dinheiro (26 Oct) · InfoMoney (27 Oct) · InfoMoney (26 Oct) · Jornal de Brasília (27 Oct) · Jornal de Brasília (27 Oct) · Forbes Brasil (23 Oct) · BCB (27 Oct)

Frozen at publication. The official dollar rate (PTAX), U.S. rates, the Focus survey and the Selic come from official data feeds, and the vote count from the electoral court (TSE). DI rates, the Ibovespa, the dollar's closing price, the 27 October PTAX and policy announcements are press-reported. No position was opened; nothing here is a real return.